

CREDIT APPRAISAL MEMO (CAM)

1. Executive Summary

The composite credit score is 80 based on financial strength, leverage profile, GST compliance, external signals and qualitative officer assessment.

2. Business Overview

TCS has submitted financial documents for credit assessment. The evaluation includes financial strength, leverage profile, GST compliance behaviour, external intelligence signals, and qualitative credit officer inputs.

3. Financial Analysis

Revenue	97.1
Profit	16.4
Debt	0
Risk Score	80
Decision	Approve
Interest Rate	10%
Loan Amount	5 Cr

4. GST Compliance Assessment

GST Mismatch Percentage: 5.0%. Risk Level: No Significant GST Risk.

5. External Intelligence Review

- Negative news detected: TCS faces investigation over tax irregularities

6. Five Cs of Credit Evaluation

- Character: Assessed through promoter background and litigation exposure.

- Capacity: Evaluated using profitability and cash generation ability.
- Capital: Determined from leverage and balance sheet structure.
- Collateral: Subject to independent verification (outside scope of prototype).
- Conditions: Sector headwinds and regulatory developments considered.

7. Risk Narrative

- External intelligence indicates adverse signals.

8. Final Recommendation

Based on the composite risk assessment, the system recommends to **Approve** the proposed credit facility with a suggested exposure of 5 Cr at an indicative rate of 10%.